

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 10-06

**YAKOV KOBEL AND VICTOR BERKOVICH
COMPLAINANTS,**

v.

**HAPAG-LLOYD AG, HAPAG-LLOYD AMERICA, INC.,
LIMCO LOGISTICS, INC. AND INTERNATIONAL TLC, INC.
RESPONDENTS.**

**RESPONDENT LIMCO LOGISTICS, INC.'S PETITION FOR RECONSIDERATION
AND STAY OF ENFORCEMENT**

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Pursuant to Rule 261 of the Federal Maritime Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.261 (2014), Respondent Limco Logistics, Inc. ("Limco") hereby respectfully submits its Petition for Reconsideration of the Commission's Order Affirming Remand Initial Decision, served May 26, 2015 (the "Order"). As set forth more fully below, Limco seeks reconsideration of the Commission's imposition of joint and several liability in this proceeding as between Limco and co-respondent International TLC, Inc. ("ITLC").¹ In addition, Limco seeks a stay of enforcement of the award of reparations pending the Commission's decision on its Petition for Reconsideration.

I. FACTUAL AND PROCEDURAL AND BACKGROUND

This proceeding arises in connection with the ocean transportation of five containers from Portland, Oregon to Gdynia, Poland during the period May-December, 2008. Initial Decision, Findings of Fact ("Findings") 5, 26, 29, 41, 76, 103. Complainants engaged International TLC, Inc. ("ITLC") to act as their forwarding agent with respect to the transportation of the five containers at issue. Findings 5, Remand Initial Decision ("Remand ID" or "RID") at 6. ITLC thereupon engaged Limco - a licensed non-vessel operating common carrier ("NVOCC") - to provide ocean transportation for the five containers from Portland, Oregon to Gdynia, Poland. Findings 3, 7. Limco, in turn, engaged Hapag-Lloyd to act as the underlying ocean carrier for the containers. Findings 7.

Limco issued house bills of lading covering the five containers based on information provided by ITLC. Findings 13, 24, 27, 37, 39, 49. Each of the bills of lading at issue listed one of the Complainants as shipper and several individuals, including one of the Complainants, as

¹ Limco does not hereby waive, and specifically reserves, its right to appeal the Order to the Court of Appeals.

consignees.² *Id.* In addition, the bills of lading listed a destination agent in Poland selected by ITLC – Baltic Sea Logistics (“Baltic”). *Id.*

The first two of the five containers were transported to Poland in the normal course, arriving in July 2008. Findings 26, 29. These two containers remained in demurrage status at the Port of Gdynia until they were picked up by the named consignees in November 2008. Findings 33. The next two containers were also transported to Poland without incident, arriving in Gdynia in September 2008 (the “September Containers”), but consignees did not timely pay the freight charges or pick up those containers. Findings 41-44. As a result, these two containers began accruing demurrage charges at the Port of Gdynia. Findings 104. The last container was damaged during loading, and did not reach Gdynia until December 2008 (the “December Container”).³ Findings 51, 103. The consignees did not timely pick up the December Container, and it too entered demurrage status at the Port of Gdynia. Findings 113, 115.

By late October 2008, demurrage charges on the September Containers were mounting because Complainants had still not picked them up. Findings 104-105. Consequently, Hapag-Lloyd, Limco, ITLC and Baltic all began to engage in discussions designed to encourage and/or pressure Complainants into having their containers picked up in order to cut off the continued accrual of demurrage. Findings 105-108. For example, on October 28, 2008, Limco advised ITLC that Limco would consider confiscating the cargo unless arrangements were made to have the containers promptly picked up or otherwise disposed of.⁴ Findings 105. Similarly, on November 10, 2008, Hapag-Lloyd advised Limco that, unless the September Containers were

² It appears that all the consignees were associated in some way with the Complainants, and that the Complainants retained ownership interests in the cargo. Findings 1.

³ Because the December Container was damaged, it could not be loaded on the feeder vessel serving the Port of Gdynia. As a result, Limco was required to -- and did -- arrange for alternative transportation of the goods and the damaged container by vessel and truck.

⁴ Limco’s concern that the containers be picked up promptly was clearly reasonable. As the NVOCC and named shipper on the master bill of lading, Limco would be responsible for paying port demurrage, container detention, and storage charges if the containers were not picked up by Complainants.

promptly picked up, Hapag-Lloyd would consider the cargo abandoned and subject to sale or disposal without further notice. Findings 106. On December 18, 2008, Baltic also advised ITLC that it would unload and liquidate the September and December Containers if they were not picked up by the end of December 2008. Findings 107. On January 9, 2009, ITLC sent Complainants a “Final Demand” for payment of freight on the September Containers and threatened to liquidate the cargo if the debt was not settled and the containers picked up by January 14, 2009. Findings 108.

Despite repeated requests made over several months that Complainants take delivery of the September and December Containers, Complainants appeared to be unwilling or unable to pay the accrued freight and demurrage charges and pick up the containers.⁵ Findings 105-108, 112. The September and December Containers remained in storage in late February 2009 – almost five months after the September Containers arrived in Gdynia. Findings 113. On February 23, 2009, ITLC liquidated the cargo in the three containers and entered into an agreement to sell the cargo to a third party. Findings 117.

On March 2, 2009, ITLC instructed Limco to change the names of the shipper and consignee on the Limco bills of lading governing the three containers still in storage. Findings 118. Limco’s general practice was to follow the instructions of the shipper’s designated forwarder, and consistent with that practice, Limco accepted ITLC’s instructions and amended the bills of lading. Findings 119, 122; RID at 13 (*citing* Trial Tr. at 392). At the time it followed ITLC’s instructions to amend the bills of lading, Limco was not aware that ITLC had liquidated

⁵ Although Complainants promised ITLC in January 2009 that they would promptly pay the freight and demurrage charges and pick up the containers, they made only a partial payment and failed to take delivery of the three containers. Findings 112.

and sold the cargo, much less that such a liquidation would have been improper.⁶ Initial Decision at 31. Although Limco was aware that ITLC (as well as Hapag Lloyd, Baltic and Limco itself) was considering liquidation, there is no evidence in the record that ITLC advised Limco of the purpose of the requested amendments, and in particular, whether the requested amendments were for the purposes of a sale or disposition by Complainants, liquidation by ITLC or Baltic, or some other disposition.

Complainants commenced this proceeding alleging multiple violations of the Shipping Act by Hapag-Lloyd, Limco and ITLC. Following discovery, a four-day hearing before Administrative Law Judge Erin M. Wirth, and a full briefing of the issues, ALJ Wirth issued an Initial Decision on February 14, 2012, dismissing Complainants' claims with prejudice. On July 12, 2013, the Commission affirmed the dismissal of all claims except the Section 10(d)(1) claims against ITLC and Limco, and remanded this case for further proceedings to determine whether Limco and ITLC violated Section 10(d)(1) of the Shipping Act. *See Kobel v. Hapag-Lloyd A.G.*, 32 S.R.R. 1720 (FMC 2013) (hereinafter, "Remand Order"). The Commission outlined the issues on remand relating to Limco as (1) whether Limco established just and reasonable regulations and practices with respect to changing the bills of lading, and, if so, (2) whether Limco failed to observe and enforce its reasonable practice. *See Remand Order*, 32 S.R.R. at 1739.

On July 30, 2014, ALJ Wirth issued the Remand ID holding Limco liable for violation of Section 10(d)(1) of the Shipping Act and awarding damages in the amount of \$126,072, plus interest. The Remand ID determined that Limco had properly established a just and reasonable practice of following the instructions of the shipper's forwarder to amend bills of lading, and that

⁶ Limco was not privy to the contractual arrangements between Complainants and ITLC, but could have reasonably assumed that ITLC had terms and conditions establishing contractual lien rights, as is typical in the forwarding industry.

Limco had, in fact, observed and enforced that reasonable practice in this case. Remand ID at 14. Nonetheless, the Remand ID held that Limco violated Section 10(d)(1), holding that Limco was not entitled to observe and enforce its just and reasonable practice under the circumstances of this case. Specifically, the Remand ID found that Limco knew or should have known that ITLC's request for changes in the house bills of lading was (1) to effect a liquidation of the cargo, and (2) without legal authority or justification.

Limco filed exceptions to the Remand ID, challenging both the finding that Limco violated Section 10(d)(1) and also the calculation of the amount of damages. On May 26, 2015, the Commission served its Order Affirming Remand Initial Decision (hereinafter, "Order") affirming the Remand ID's determination that Limco violated Section 10(d)(1) of the Shipping Act and holding Limco and ITLC jointly and severally liable for reparations.

II. THE ISSUE OF APPORTIONMENT OF DAMAGES HAS NOT BEEN ADDRESSED IN THE BRIEFS OR ARGUMENTS OF ANY PARTY

Rule 261 provides, *inter alia*, that a petition for reconsideration will be considered by the Commission if it "[a]ddresses a finding, conclusion or other matter upon which the party has not previously had the opportunity to comment or which was not addressed in the briefs or arguments of any party." 46 C.F.R. § 502.261 (2014). The imposition of joint and several liability with respect to Limco and ITLC and the apportionment of damages among all of the parties to this proceeding are matters that have not been addressed in the briefs or arguments of any party.

III. THE COMMISSION SHOULD APPORTION LIABILITY AMONG THE PARTIES WHERE, AS HERE, THE COMPLAINANT'S ACTIONS CONTRIBUTED TO THE LOSS AND THE RESPONDENTS HAVE SUBSTANTIALLY DIFFERENT DEGREES OF CULPABILITY

A. The Commission Has The Discretion To Apportion Damages Among Respondents

Although the Commission has generally imposed liability for reparations against co-respondents on a joint and several basis, the Commission has previously made clear that it has the discretion to apportion damages in an appropriate case. *See Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126 (FMC 2011); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 675 (ALJ 1990). In particular, the Commission stated in *Mitsui* that it could adopt the principle of contribution where a respondent may be required to pay more than its proportionate share of reparations:

[N]othing in the Shipping Act or its legislative history indicates that the Commission may not adopt alternative theories of liability when appropriate. In addition, courts have taken the position that an administrative agency may exercise some flexibility in determining remedies for violations. In reviewing an order of the FMC imposing a fine for violations of the Act, the Second Circuit Court of Appeals stated that '[w]here an agency finds a violation, the choice of a sanction is largely within the agency's discretion. *See American Power Co. v. SEC*, 329 U.S. 90, 112 67 S.Ct. 133, 1145, 91 L.Ed. 103 (1946)('[T]he relation of remedy to policy is peculiarly a matter for administrative competence.')(citation omitted).'

Mitsui, 32 S.R.R. at 139, *quoting Merritt v. U.S.*, 960 F.2d 15, 17 (2nd Cir. 1992).⁷

The apportionment of reparations among the parties is appropriate in this proceeding. As noted in the Remand ID, as well as the concurring opinion in the Order of Commissioners Doyle and Lidinsky, the Complainants in this matter significantly contributed to the causation of damages by refusing to pick up their cargo for several months after demurrage began to accrue.

⁷ The Commission did not ultimately determine whether to apportion reparations in the *Mitsui* case because the underlying claims were decided in respondent Global Link's favor.

See Remand ID, Findings 105-108; Order at 17 (concurring opinion). Moreover, as set forth more fully below, Limco's culpability in this matter is clearly secondary to that of ITLC.

B. Complainants' Refusal To Pick Up Their Cargo Promptly Substantially Contributed To Their Own Loss

It should be beyond doubt that Complainants' own actions contributed greatly to the loss in this case. Complainants' refused to pick up their cargo for months after it arrived in Gdynia, all the while knowing that the cargo would continue to accrue substantial demurrage until it was picked up. Complainants continued to refuse to pick up their cargo for months despite repeated requests that they do so, and despite repeatedly being informed that the cargo would be liquidated, sold or disposed of if they failed to pick it up promptly. Complainants failed to pick up their cargo even after they promised to do so in January 2009. Simply put, Complainants had months to pick up their cargo, and had they done so, there would have been no liquidation, no violation of Section 10(d)(1) and no loss.

The award of full reparations to Complainants in this case without taking into account their relative culpability in creating the loss is inequitable. As the concurring opinion in the Order notes, the award of reparations on the basis of joint and several liability without apportionment based on fault means that "a respondent may be forced to incur all of the damages even though only a portion is attributable to its 10(d)(1) violation." Order at 17. In this case, there is a substantial likelihood that Limco – the least culpable of the parties to the transactions – will be forced to bear the entire loss while the Complainants gain an inequitable benefit as a result of their own unreasonable conduct.⁸

⁸ The grant of the full claimed value of the cargo to Complainants places them in a better position than if they had picked up their cargo prior to the liquidation. If Complainants had picked up their cargo before the liquidation, they would have had to pay the applicable freight and storage charges. Consequently, the net value of the cargo to Complainants would have been diminished by the amount of the freight and storage charges. The Remand ID and the Commission's Order, however, awards Complainants the full claimed value of the cargo, thus effectively forcing respondents to pay the storage charges.

Moreover, the award of reparations to Complainants in this case without regard to their own fault is not only inequitable, it is also bad policy and would set an unfortunate precedent. NVOCCs increasingly find themselves subject to substantial, and sometimes crushing, liabilities for destination fees (such as port demurrage, container detention or storage charges) when the shipper or its consignee fails to promptly pick up cargo at destination. Shippers fail or refuse to pick up their cargo for a variety of reasons – for example, when the sale of the cargo to the consignee has fallen through, the market for the cargo has diminished or disappeared, or the consignee encounters problems clearing customs. Because the NVOCC is typically named as shipper and/or consignee on the master bill of lading, it is ultimately held responsible by the vessel operator for demurrage, detention, storage and disposal fees if the underlying shipper fails to claim the cargo.⁹

However, the NVOCC's only means of minimizing its exposure to such destination charges – exercising its lien and selling the cargo – is an option fraught with risk. The shipper can always argue after the fact that the timing, notice, terms of sale or the amounts received with respect to the sale were unreasonable and thus a violation of Section 10(d)(1) under the particular facts and circumstances in each case.¹⁰ If, as here, a shipper that fails to promptly pick up his cargo can nonetheless recover its full value without regard to his own fault, then there is little incentive for the shipper to pick up his cargo when he encounters commercial or other obstacles. Instead, the shipper can simply refuse to pick up the goods, thus forcing the NVOCC to essentially act as a guarantor for the accumulating destination charges until the shipper decides whether he can profit or reduce his loss by picking up the cargo. In cases where the shipper

⁹ In such situations, the cargo may also be held for indefinite periods by customs or other governmental authorities while still incurring carrier, port and warehouse fees.

¹⁰ In some cases, liquidation of the cargo is not even an option based on local law or practice or other considerations.

cannot profitably resell, reship or dispose of the cargo, he can simply wait until the NVOCC or some other party moves to liquidate or dispose of the cargo and then seek to recover its full pro forma value in a Section 10(d)(1) action.¹¹ On the other hand, if the complainants own fault can be considered in awarding reparations in such cases, shippers and consignees will be more likely to be incentivized to claim their cargo as promptly as possible or to act responsibly in resolving the situation to avoid the accrual of potentially ruinous destination charges.

C. Limco's Culpability In Causing The Loss In This Case Is Secondary To, And Of A Lesser Degree Than, That Of ITLC

Similarly, Limco's culpability in this matter is clearly secondary to that of ITLC. Limco has not been found to have committed either an inherently wrongful act or an intentional, violation of the Shipping Act. Indeed, the Remand ID acknowledges that an NVOCC's acceptance of instructions from the shipper's forwarder – even with respect to changes in the bill of lading – is not in and of itself wrongful or unreasonable. Instead, the crux of the conduct giving rise to Limco's liability under Section 10(d)(1) is that it was not, under the circumstances in this case, sufficiently suspicious of the bona fides of the shipper's forwarder and fiduciary when it requested changes to the house bills of lading.

ITLC, on the other hand, was the forwarder selected by Complainants to act on its behalf and thus owed Complainants a fiduciary duty to act in their best interests. Although the Remand ID and the Order finds fault with Limco for failing to confirm with the Complainants that ITLC was authorized to request changes to the bills of lading, ITLC had actual knowledge that the Complainants had not agreed to the changes to the bills of lading. Similarly, while the Remand ID and the Order hold that Limco should have suspected that ITLC was liquidating the cargo for

¹¹ The NVOCC may have an action against the shipper or consignee for the destination charges resulting from the failure of the consignee to claim the cargo, but the prospects of recovery are uncertain. For example, and as is often the case, the shipper and/or consignee may disappear, go out of business, or have insufficient assets to satisfy any judgment or award.

its own account and not at the behest of its principals, ITLC clearly knew what it was doing, and in particular, whether the liquidation was proper or not.¹²

Under the circumstances in this case, apportioning liability according to the relative fault of the parties to the transaction would be the most equitable means of preventing the least culpable party from bearing the entire loss. In this case, such an apportionment of liability would not unduly prejudice the Complainants, since the Complainants are not only themselves at least partially responsible for the loss, but they also chose ITLC as their forwarder to act as a fiduciary on their behalf.

D. The Commission Should Stay The Enforcement Of The Award Of Reparations Pending A Decision On Limco's Petition For Reconsideration

Limco respectfully requests a stay of the enforcement of the award of reparations until its Petition for Reconsideration is decided. The Commission has evaluated requests for stays under the four factor test established in *Virginia Petroleum Jobbers Ass'n v. FPC*, 259 F.2d 921 (D.C. Cir. 1958). See *SSA Terminals, LLC v. City of Oakland*, 32 S.R.R. 107 (ALJ 2010) (granting stay pending appeal). The four factors considered are:

(1) the likelihood that the party seeking will prevail on the merits of the appeal; (2) the likelihood that the moving party will be irreparably harmed absent a stay; (3) the prospect that others will be harmed if the court grants the stay; and (4) the public interest.

Id. at 109 (quoting *Wisconsin Gas Co. v. FERC*, 758 F.2d 669, 673-74 (D.C. Cir. 1985)). All of the factors must be weighed in determining whether a stay is appropriate, but no one factor is dispositive. See *SSA Terminals, LLC*, 32 S.R.R. at 110 (granting stay despite finding petitioner not likely to prevail on the merits).

¹² While ITLC apparently did not have the right to liquidate the cargo, Limco did have legal authority to exercise its lien and liquidate the cargo in order to attempt to recover the unpaid freight, demurrage and storage costs. The sad irony of this case is that Limco's forbearance in allowing the Complainants and their forwarder to attempt to resolve the situation has instead led to this unfortunate and inequitable result.

In this case, there is good cause for the grant of a stay. Limco believes it has raised a substantial issue of law, equity and policy that should be addressed by the Commission. Moreover, Limco will likely be irreparably harmed absent a stay, since there is substantial doubt whether it would be able to recover any amounts paid to satisfy the reparations award from Complainants or ITLC in the event that the liability is apportioned according to relative fault. Moreover, the other parties would not suffer any appreciable harm if a stay were granted until the Petition for Reconsideration is decided. Finally, there is a substantial public interest in having the Commission address the issue in Limco's Petition for Reconsideration, which the grant of a stay would facilitate.

IV. CONCLUSION

For all the foregoing reasons, Limco respectfully requests that the Commission reconsider its May 26, 2015 Order and hold that liability for the loss at issue be apportioned on the basis of the relative fault of the parties. In addition, Limco respectfully requests that the Commission stay the enforcement of the award of reparations pending its decision on Limco's Petition for Reconsideration.

Respectfully submitted,



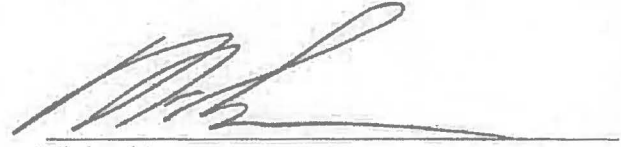
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DATED: June 24, 2015

VERIFICATION

Pursuant to Rules 6 and 261 of the Federal Maritime Commission's Rules of Practice and Procedure, I, Michael Lyamport, do hereby declare and verify under the penalty of perjury under the laws of the United States of America that the foregoing Petition for Reconsideration and Stay of Enforcement is true and correct.

Dated: June 24, 2015

A handwritten signature in dark ink, appearing to read 'ML', is written over a horizontal line.

Michael Lyamport
President Limco Logistics, Inc.

CERTIFICATE OF SERVICE

I do hereby certify that a true and correct copy of the foregoing document was delivered to the following addressees at the addresses stated by depositing same in the United States mail, first class postage prepaid, and/or by electronic transmission, this 24th day of June 2015:

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